

Bharat Heavy Electricals Limited

BHEL

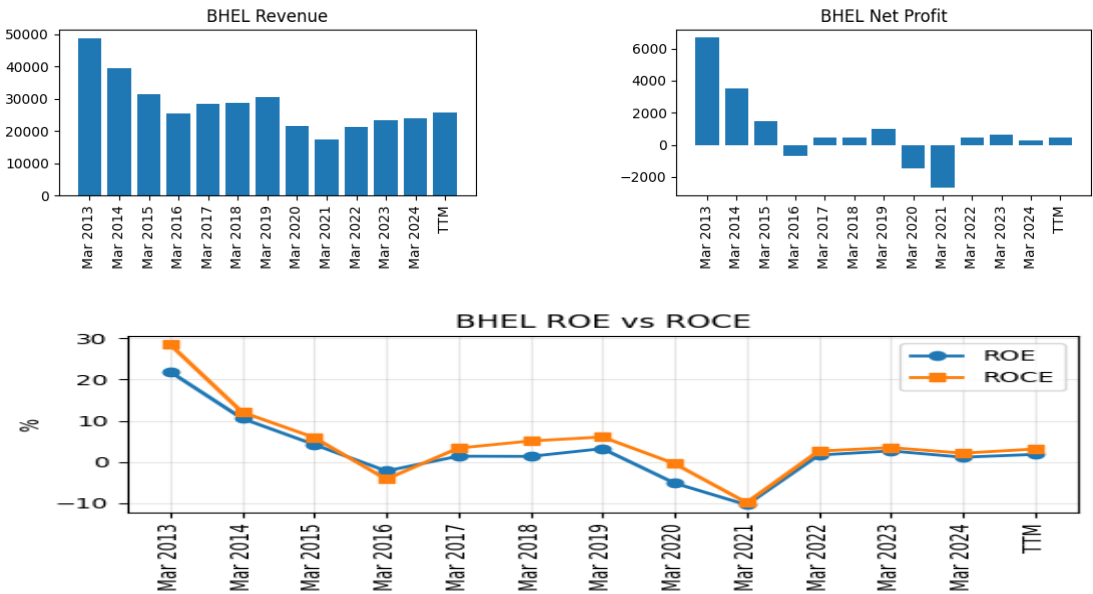
Key Financial Metrics

ROE 1.84%	ROCE 3.15%	Debt / Equity 0.38
Revenue CAGR -6.30%	FCF Conversion -1,316.67%	Quality Score 14.34

Company Profile

Company	Bharat Heavy Electricals Limited
Sector	Industrials
Industry	Capital Goods
Market Cap (■ Cr)	540,053.85
P/E Ratio	29.80
P/B Ratio	11.43
Dividend Yield	4.04%

Financial Performance



AI Investment Summary

Bharat Heavy Electricals Limited currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, limited revenue growth, accrual risk cash-flow quality and conservative leverage. The overall financial quality score is 14.3/100. Key strengths include: The company continues to operate with stable financial performance and remains suitable for ongoing monitoring.. Key risks include: Return on capital employed below 10% indicates weak capital efficiency.; Weak operating margins suggest limited pricing power and lower cash generation.; Low revenue growth may indicate a lack of business momentum.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• The company continues to operate with stable financial performance and remains suitable for ongoing monitoring.	• Return on capital employed below 10% indicates weak capital efficiency. • Weak operating margins suggest limited pricing power and lower cash generation. • Low revenue growth may indicate a lack of business momentum. • Two consecutive years of negative free cash flow point to weak cash generation. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

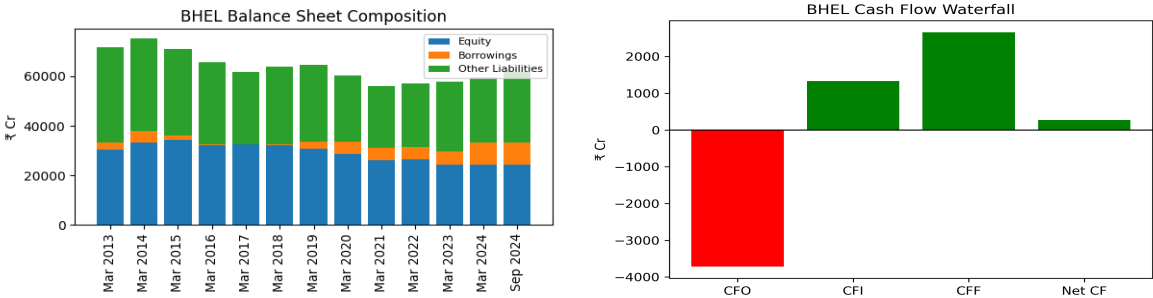
Recommendation	AVOID
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 11.3/100, supported by 1 identified strengths, 5 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 11.3

Balance Sheet & Cash Flow



Financial Health

Profitability	Weak
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Growth	Weak
Cash Flow	Weak
Leverage	Strong
Valuation	Fair

Capital Allocation

Distress Signal